Loyalty Programme

Document code LP-05. Version 1.0. Effective 1 January 2024. This is a synthetic policy for the fictional company Northwind Gifts. It is used only for a software demonstration.

1. Joining

1.1 Free membership. Membership of the Loyalty Programme is free for retail customers with a Northwind Gifts account.

1.2 Who can join. Wholesale accounts cannot join. Members must be aged 16 or over.

1.3 Welcome bonus. A new member receives 200 points after the first order is delivered.

2. Earning points

2.1 Base rate. A member earns 1 point for every £1 spent on goods. Delivery charges, VAT and gift cards do not earn points. Points are calculated after discounts and vouchers.

2.2 Tier multipliers. Silver members earn 1.25 points per £1. Gold members earn 1.5 points per £1.

2.3 Birthday bonus. A member receives 100 bonus points in the month of their birthday.

2.4 Referral bonus. When a member refers a friend, both receive 250 points after the friend's first order of at least £20 is delivered.

2.5 Review points. A member earns 20 points for each product review, up to 5 reviews per month.

2.6 When points appear. Points are added to the account 30 days after the order is delivered. This gives time for returns.

3. Tiers

3.1 Tier thresholds. Every member starts at Bronze. A member reaches Silver after earning 1,000 points in the last 12 months. A member reaches Gold after earning 3,000 points in the last 12 months.

3.2 Silver benefits. Silver members get free UK standard delivery on orders of £25 or more, instead of £40.

3.3 Gold benefits. Gold members get free UK standard delivery on all orders, and free UK next day delivery on orders of £60 or more.

3.4 Tier review. Tiers are checked each month using the last 12 months of earned points. A member who falls below a threshold moves down one tier.

4. Redeeming points

4.1 Redemption rate. 500 points can be exchanged for a £5 voucher. Points can only be redeemed in steps of 500.

4.2 Voucher validity. A voucher is valid for 90 days from the day it is issued.

4.3 Voucher limit. A voucher can pay for at most 50 percent of the basket value.

4.4 Excluded items. Vouchers cannot be used on gift cards or on Final Sale items.

4.5 No cash value. Points and vouchers have no cash value and cannot be exchanged for money.

5. Expiry

5.1 Inactivity expiry. All points expire if the account has no earning or redeeming activity for 12 months.

5.2 Reminder. Northwind Gifts sends a reminder email 30 days before points expire.

5.3 Account closure. If a member closes their account, all points and unused vouchers are lost.

6. Returns and points

6.1 Points on refunds. When an item is refunded, the points earned on it are removed from the balance.

6.2 Negative balance. If the points were already redeemed, the balance may become negative. The next points earned are used to clear the negative balance.

6.3 Vouchers on returned orders. If a voucher was used on an order that is fully refunded, the voucher value is returned as store credit and not as a new voucher.

7. Changes and misuse

7.1 Changes to the programme. Northwind Gifts may change the rules with 30 days notice by email.

7.2 Misuse. Fraud or misuse leads to removal of points and closure of the account.

7.3 No transfers. Points cannot be transferred between accounts or sold.